

Annual Report & Financial Statements

Fiscal Year Ended December 31, 2024

Ticker: ZPHY | Exchange: NASDAQ | Sector: Technology Software | Currency: USD (millions)

Zephyr Software Inc. is a cloud-native enterprise software company headquartered in Austin, Texas. The company develops and sells subscription-based workflow automation, data integration, and analytics platforms to mid-market and enterprise customers across North America, Europe, and Asia-Pacific. Fiscal year 2024 marked the company's fourth consecutive year of revenue growth above 20%, driven by strong net revenue retention, expansion of the Zephyr Core platform, and the successful integration of two acquisitions completed in late 2023.

1. Financial Highlights — FY2024

Metric	FY2024	FY2023	YoY Change
Total Revenue (USD M)	\$1,284.5	\$1,047.2	+22.7%
Gross Profit (USD M)	\$924.8	\$743.5	+24.4%
Gross Margin	72.0%	71.0%	+100 bps
EBITDA (USD M)	\$282.6	\$209.4	+35.0%
EBITDA Margin	22.0%	20.0%	+200 bps
EBIT / Operating Income (USD M)	\$198.1	\$136.1	+45.6%
Net Income (USD M)	\$154.3	\$105.8	+45.8%
Net Margin	12.0%	10.1%	+190 bps
Diluted EPS (USD)	\$3.12	\$2.18	+43.1%

All figures in USD millions unless stated. YoY = year-over-year. bps = basis points.

2. Consolidated Income Statement

	FY2024 (USD M)	FY2023 (USD M)
Revenue	\$1,284.5	\$1,047.2
— Subscription & SaaS	\$1,027.6	\$817.0

— Professional Services	\$180.8	\$157.1
— Licences & Other	\$76.1	\$73.1
Cost of Revenue	(\$359.7)	(\$303.7)
Gross Profit	\$924.8	\$743.5
Gross Margin %	72.0%	71.0%
Research & Development	(\$282.6)	(\$241.9)
Sales & Marketing	(\$308.3)	(\$272.3)
General & Administrative	(\$135.8)	(\$93.2)
Total Operating Expenses	(\$726.7)	(\$607.4)
EBIT (Operating Income)	\$198.1	\$136.1
EBITDA	\$282.6	\$209.4
EBITDA Margin %	22.0%	20.0%
Interest Expense	(\$18.4)	(\$14.2)
Other Income / (Expense)	\$4.1	\$2.3
Pre-Tax Income	\$183.8	\$124.2
Income Tax Expense	(\$29.5)	(\$18.4)
Net Income	\$154.3	\$105.8
Net Margin %	12.0%	10.1%
Diluted Shares Outstanding (M)	49.5	48.5
Diluted EPS (USD)	\$3.12	\$2.18

3. Consolidated Balance Sheet

As at December 31, 2024

	31-Dec-2024 (USD M)	31-Dec-2023 (USD M)
ASSETS		
Cash & Cash Equivalents	\$312.8	\$241.5
Short-Term Investments	\$98.4	\$72.1
Accounts Receivable (net)	\$187.6	\$153.2

Prepaid & Other Current Assets	\$42.3	\$38.9
Total Current Assets	\$641.1	\$505.7
Property, Plant & Equipment (net)	\$84.2	\$78.4
Intangible Assets & Goodwill	\$423.7	\$441.2
Right-of-Use Assets	\$31.4	\$36.8
Other Non-Current Assets	\$18.6	\$14.3
Total Assets	\$1,199.0	\$1,076.4
LIABILITIES & EQUITY		
Accounts Payable	\$48.3	\$41.7
Deferred Revenue (current)	\$214.6	\$178.3
Accrued Liabilities	\$73.2	\$61.4
Current Portion of Long-Term Debt	\$25.0	\$25.0
Total Current Liabilities	\$361.1	\$306.4
Long-Term Debt	\$275.0	\$300.0
Deferred Revenue (non-current)	\$38.4	\$31.2
Other Non-Current Liabilities	\$22.7	\$19.8
Total Liabilities	\$697.2	\$657.4
Total Shareholders' Equity	\$501.8	\$419.0
Total Liabilities & Equity	\$1,199.0	\$1,076.4
NET DEBT (Total Debt less Cash)	(\$12.8)	\$83.5

Net Debt = Total Debt (current + long-term) less Cash & Cash Equivalents. A negative net debt figure indicates a net cash position.

4. Consolidated Cash Flow Statement

	FY2024 (USD M)	FY2023 (USD M)
Net Income	\$154.3	\$105.8
Depreciation & Amortisation	\$84.5	\$73.3
Share-Based Compensation	\$38.2	\$31.4
Changes in Working Capital	\$22.4	\$15.6

Other Operating Items	(\$8.3)	(\$6.1)
Operating Cash Flow	\$291.1	\$220.0
Capital Expenditure (Capex)	(\$42.6)	(\$38.1)
Acquisitions	\$0.0	(\$185.0)
Purchase of Investments	(\$98.4)	(\$72.1)
Investing Cash Flow	(\$141.0)	(\$295.2)
Debt Repayments	(\$25.0)	(\$25.0)
Dividends Paid	\$0.0	\$0.0
Share Repurchases	(\$45.0)	(\$20.0)
Proceeds from Stock Options	\$12.3	\$9.8
Financing Cash Flow	(\$57.7)	(\$35.2)
Net Change in Cash	\$92.4	(\$110.4)
Free Cash Flow (OCF less Capex)	\$248.5	\$181.9
FCF Margin %	19.3%	17.4%

5. Revenue by Segment

Segment	FY2024 Revenue (USD M)	FY2023 Revenue (USD M)	YoY Growth	Operating Income (USD M)
Zephyr Core (Workflow Automation)	\$641.3	\$498.4	+28.7%	\$192.4
DataBridge (Integration Platform)	\$385.4	\$323.1	+19.3%	\$96.4
Analytics Cloud	\$180.2	\$148.2	+21.6%	\$54.1
Professional Services	\$77.6	\$77.5	+0.1%	(\$8.2)
Total	\$1,284.5	\$1,047.2	+22.7%	\$334.7

Zephyr Core includes both new logo ARR and expansion revenue from existing customers. Professional Services operating loss reflects deliberate investment in implementation capacity ahead of FY2025 platform launches.

6. FY2025 Financial Guidance

Metric	Low	High	Midpoint
Total Revenue (USD M)	\$1,490	\$1,540	\$1,515

Revenue Growth (YoY)	16.0%	19.9%	~18%
EBITDA (USD M)	\$343	\$370	\$356.5
EBITDA Margin	23.0%	24.0%	~23.5%
Diluted EPS (USD)	\$3.55	\$3.80	\$3.68
Free Cash Flow (USD M)	\$285	\$310	\$297.5

Management commentary: FY2025 guidance reflects continued strong demand for the Zephyr Core platform, accelerating adoption in the European mid-market, and expected contribution from the Analytics Cloud enterprise tier launched in Q4 2024. Guidance assumes no further acquisitions and is presented on a constant-currency basis. Macroeconomic uncertainty and elongated enterprise sales cycles represent the primary downside risks to the outlook.

7. Key Operating & SaaS Metrics

Metric	FY2024	FY2023
Annual Recurring Revenue (ARR, USD M)	\$1,102.4	\$889.6
ARR Growth (YoY)	24.0%	26.3%
Net Revenue Retention Rate (NRR)	118%	115%
Gross Revenue Retention Rate (GRR)	94%	93%
Total Customers	4,812	3,974
Customers > \$100K ARR	642	498
Customers > \$1M ARR	84	61
R&D as % of Revenue	22.0%	23.1%
S&M as % of Revenue	24.0%	26.0%
G&A as % of Revenue	10.6%	8.9%
Headcount (end of period)	3,847	3,312
Revenue per Employee (USD K)	\$333.9	\$316.2

8. Notes to Financial Statements

8.1 Basis of Presentation

These financial statements have been prepared in accordance with US Generally Accepted Accounting Principles (US GAAP). All figures are presented in United States dollars (USD) and in millions unless otherwise stated. Certain prior-period amounts have been reclassified to conform with the current-year presentation.

8.2 Revenue Recognition

The company recognises subscription revenue on a straight-line basis over the contract term, typically 12 to 36 months. Professional services revenue is recognised as services are delivered. Deferred revenue represents billings in advance of revenue recognition and totalled \$253.0M at year-end (FY2023: \$209.5M).

8.3 Debt

As at December 31, 2024, total debt comprised a \$300M senior secured revolving credit facility, of which \$300M was drawn, with \$25M classified as current. The facility bears interest at SOFR + 175bps and matures in October 2027. The company was in compliance with all financial covenants at year-end.

8.4 Share Repurchase Programme

During FY2024 the company repurchased 1.2 million shares at an average price of \$37.50 per share for total consideration of \$45.0M under the \$150M programme authorised by the Board in March 2023. Approximately \$62.4M remains available under the programme.

8.5 Dividends

The company did not declare or pay any cash dividends during FY2024 or FY2023. The Board does not anticipate initiating a dividend in the near term, preferring to deploy capital toward organic growth, platform investment, and selective acquisitions.

This document is a synthetic financial report created for demonstration and software testing purposes only. Zephyr Software Inc. (ZPHY) is a fictitious company. All figures, names, and data are fabricated and do not represent any real entity or financial results. This report is designed to test financial data extraction pipelines.